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CH – 01

ACCOUNTING FUNDAMENTALS

(3)

INTRODUCTION TO FINANCIAL STATEMENTS

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Responsibility for preparing Financial Statements

Business Entity Concepts

Regulations for preparing financial statements

Accounting period

Financial Reporting

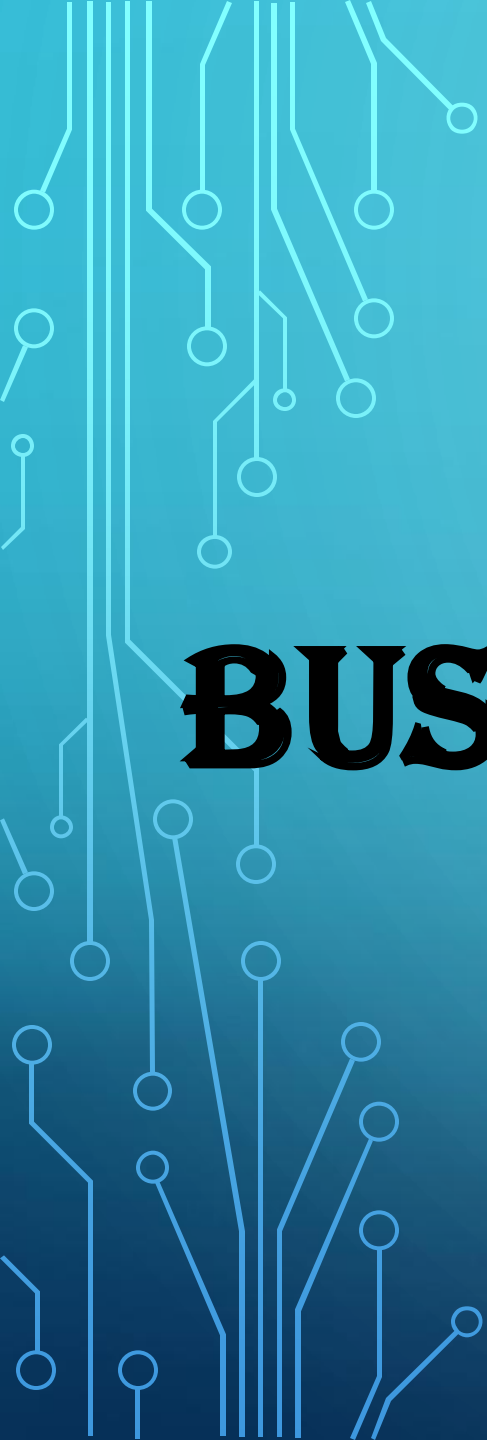


(2)

**RESPONSIBILITY FOR
PREPARING FINANCIAL
STATEMENTS**

RESPONSIBILITY FOR PREPARING FINANCIAL STATEMENTS

Type of Entity	Responsibility	Requirement
Sole proprietorship	Sole Owner is responsible	Only in case of contractual requirement.
Partnership	Partners are responsible	
Limited Company	Board of directors is responsible	Legal requirement

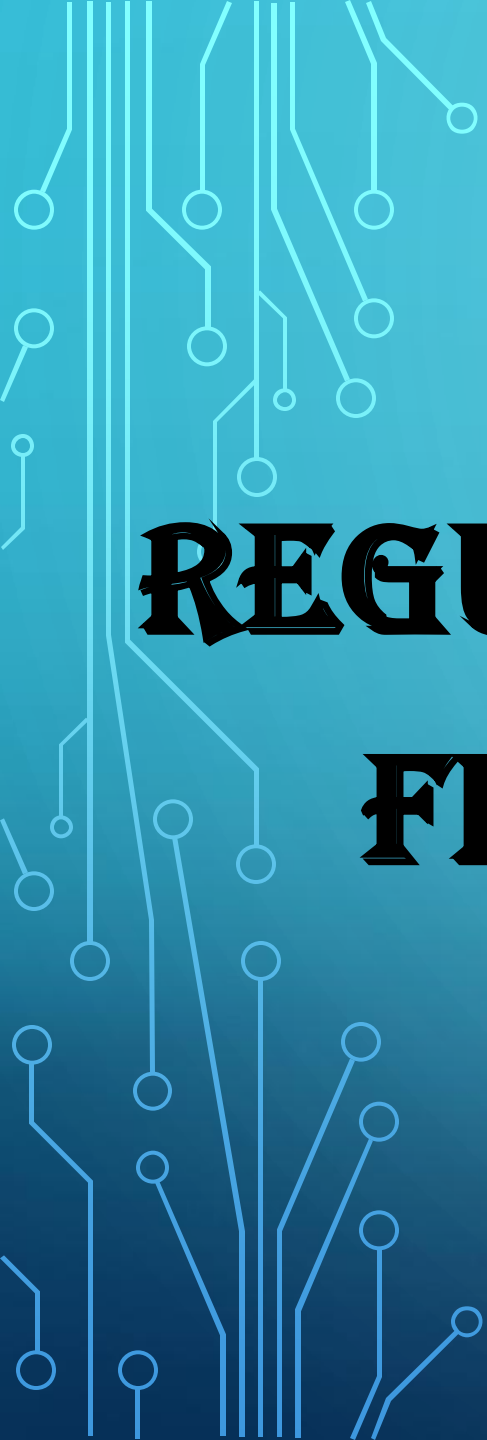


(3)

BUSINESS ENTITY CONCEPT

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Financial accounting relates only to the activities of the **BUSINESS** & not to the activities of its owner(s).



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REGULATIONS FOR PREPARING FINANCIAL STATEMENTS

REGULATIONS FOR PREPARING FINANCIAL STATEMENTS

Sole traders & partnerships



Financial statements can be prepared according to

**Accepted Accounting Principles & practices
(AAPPs)** and need not to follow the rules of
accounting standards.

REGULATIONS FOR PREPARING FINANCIAL STATEMENTS

Limited Companies

Companies are required to prepare their financial statements by law. They must follow **generally accepted accounting principles (GAAPs)**

GENERALLY ACCEPTED ACCOUNTING PRINCIPLES (GAAPs)

Company Act 2017; and

International Financial Reporting Standards (IFRSs)



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ACCOUNTING PERIOD

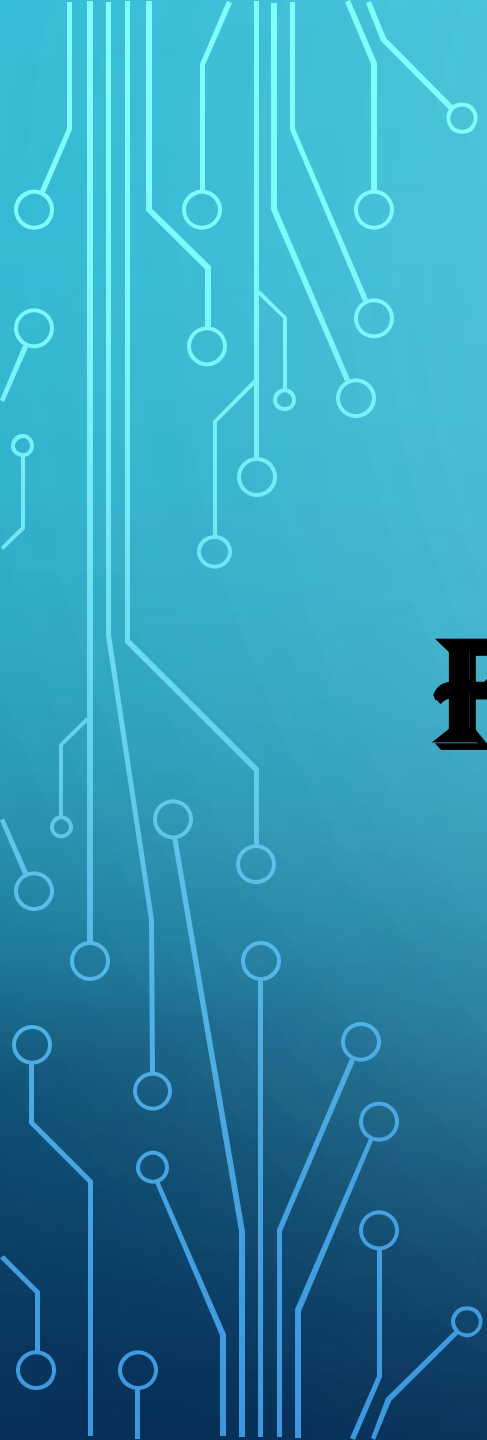
ACCOUNTING PERIOD

Financial statements relate to a given period of time, known as:

Financial
Period

Accounting
period; or

Reporting
period



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FINANCIAL REPORTING

FINANCIAL REPORTING

To provide financial information about the entity that is useful to the users of financial statements

in making their decisions relating to the entity.

